

Cedric Savarese, CEO of FormAssembly



Cedric's story is a textbook case study of the kind of entrepreneur we want to see emerge and grow in every corner of the world: a solo entrepreneur who is a developer and a product guy capable of getting to validation while holding onto a day job. Today, Cedric has almost 50 employees spread around the world, and while it maintains a small office of fewer than 10 people in Indiana, the bulk of the company has scaled as a virtual workforce. Excellent model, and I encourage aspiring entrepreneurs to read this carefully.

Sramana Mitra: Let's start at the very beginning of your journey. Where are you from? Where were you born, raised, and in what kind of background?

Cedric Savarese: I was born in France and expatriated to the US. I grew up in a small town not so far from Paris.

Sramana Mitra: Were you educated in Paris?

Cedric Savarese: Yes. I did my university degree in Paris.

Sramana Mitra: What did you train in?

Cedric Savarese: I studied Computer Science. I have, roughly, the equivalent of a Masters degree in Computer Science.

Sramana Mitra: When did you finish your education?

Cedric Savarese: Around 1997.

Sramana Mitra: The Internet was in full swing at this point. What did you do when you came out of school?

Cedric Savarese: I worked as an IT engineer for a smaller company. We were in the information space. We were doing press reviews for Fortune 500 type companies. I helped set up the IT infrastructure and software.

Sramana Mitra: This went on for how long?

Cedric Savarese: That went on until 2001 when I worked for a startup that was started by my boss at that time. He had decided to do a startup. It was right in the heart of the first dot-com boom. We worked on something like what I'm doing right now. We were doing a lot of consumer surveys.

The whole idea behind this was to ask people to fill out surveys about their consumer habits. What kind of toothpaste were they using? Were they thinking of buying a car in the next six months. Then we turn around and sell that information to businesses. In exchange for filling out surveys, they could win prizes.

Sramana Mitra: How long did this go on?

Cedric Savarese: That went on for about a year. The company folded. I left and worked as a contractor for a large multinational.

Sramana Mitra: Then how long before you started this company?

Cedric Savarese: It took a few more years. I started this company in 2006. I worked for that multinational for about a year. Then I moved to the United States. In the States, I worked in higher education for a few more years.

Sramana Mitra: Doing what?

Cedric Savarese: Doing web development.

Sramana Mitra: What year did you start this company?

Cedric Savarese: I started in 2006.

Sramana Mitra: What was the concept? What were you trying to do with this company when you started?

Cedric Savarese: The original idea was to make the data acquisition process more accessible to stakeholders. As an IT professional, I had built quite a few forms and surveys from scratch. I

was very familiar with the concept of creating those forms and creating the data. Throughout my career, I had seen people needing those tools but always being dependent on IT and developers. I wanted to build a service that would allow them to, essentially, design those forms and services themselves without needing the technical skills.

Sramana Mitra: How did you get this thing off the ground? Did you have clients that you were building this for as a services project? Did you build the software and then started acquiring clients? What was the sequence of events?

Cedric Savarese: I started by building more of a proof of concept. I built it and made it available for free. I wanted to see what kind of traction it would get. It got enough interest at that time that it encouraged me to pursue that further. Eventually, I built up from there and made way for people to subscribe to the surveys and pay online through PayPal. That's how I got my first few customers.

Sramana Mitra: What was the customer acquisition strategy that helped you sell the product?

Cedric Savarese: At that time, I was more in the mindset of, "If you'll build it, they'll come." I didn't have a lot of experience in marketing or sales. I had worked enough in those areas that I knew the process. I knew how to create sales proposals. I knew how to talk to large enterprise customers, but I hadn't really spent a lot of time doing sales and marketing. I focused on creating a product that was useful. Originally, it was word of mouth publicity and posting in online forums to get those original customers.

Sramana Mitra: What kind of numbers are we talking through those forum posts? How many customers were you able to acquire?

Cedric Savarese: After a few months, we got enough to know that it was viable. I had a day job. I had an income from that. I wasn't necessarily looking for revenue right away, but it was enough to know that there was some traction and that I could make it as a full-time endeavor. I quit my day job when the revenue from that made up for my salary. I don't recall exactly how many customers it took.

Sramana Mitra: Are we talking about 50 customers, 100 customers, or a thousand customers?

Cedric Savarese: We're talking about a hundred customers. Subscription would be \$9 a month.

Sramana Mitra: \$9 a month of about a hundred customers. You managed to get a boost from your social media activities. How long did this validation phase take while you still held on to your job?

Cedric Savarese: It took around 18 months to 2 years.

Sramana Mitra: You were based in the US at this point?

Cedric Savarese: Yes, in Indiana.

Sramana Mitra: What happens next? You've got this hundred or so customers. You've got some validation. Were you ready to quit the job?

Cedric Savarese: Yes, we moved to a slightly bigger town but were still in the same area. I was hoping to find other people to help me grow the company. At this point, just by talking to existing customers and getting their input and feedback, I had seen some demand for Salesforce. I was vaguely aware of it, but it wasn't as huge as it is today.

Salesforce, today, is probably the largest SaaS company in the world. I had some customers who talked to me about it. I looked into it. There were a couple of things that interested me. The first one is that they had a marketplace. Not being a marketer and not having a sales team, it was a no-brainer. If I'm visible on that marketplace, I get the exposure to their customer base. It's definitely a big advantage for me.

As a developer, I was thinking about how to work with that partner. Some companies make it hard. Some companies make it easy. Salesforce made it really easy. There was no upfront cost. There was plenty of documentation. I was able to build this integration and develop a tool that was more valuable to my customer and get the ad exposure through the marketplace.

Sramana Mitra: What did that do to your customer base? Once you were integrated into Salesforce AppExchange, what was the inflection point in the lead? From a hundred customers' level, what did that go to after you integrated with Salesforce?

Cedric Savarese: The number of customers has grown steadily over the years. It's not like there was a huge inflection point. We have thousands of customers and we have hundreds of thousands of people who try out our product when you could get a free trial. At one point, we had a free account. We don't have that anymore. What Salesforce has done for us is, it brought us different kinds of customers. Before, it was small businesses and individuals. Through Salesforce, now we have Fortune 500 companies and very large organizations.

Sramana Mitra: How do you differentiate vis-a-vis your competitors? When you started, what was the competitive landscape and how did the competitive landscape evolve as you went along?

Cedric Savarese: There's definitely a lot of competition. There was some competition when I started and more competitors popped up since then. We still find new competitors every other week. That tells me that it's a big market. There're a lot of people who have that need to collect data and then process that data easily. Competition is good in that sense. There're a couple of things that we've done to help us differentiate ourselves from our competition.

The first one is what I talked about – Salesforce integration and being able to be in that space and understand that space very well and understand how our customers use Salesforce and what their needs are. Having that kind of first move advantage was good for us because we've

been able to build an integration that is miles ahead of anything our competitors are doing in that particular space.

The other thing is by the nature of talking to those customers, they have needs that are somewhat different than small businesses, especially around security and privacy of data. We collect sensitive data on their behalf and we want to make sure that we're handling that data correctly while it's in our possession. That forced us to raise the bar in terms of how much we invest in security and compliance.

Now we have HIPAA-compliant offering. We have third-party audits. These are things that our competitors don't have and things that are hard for a new entrant in the market to do.

Sramana Mitra: When you started, which competitors did you see most in deals?

Cedric Saverese: When I started, there was not a lot of competitive deals. We didn't have a sales team. It was more like, "Here's a product. If you want it, buy it." We didn't have a lot of visibility into our customers' purchasing process. We didn't know who else they were talking to. At that time, it's not like there were a lot of other options. The competition was developers and people building it themselves.

Sramana Mitra: Did you raise any money?

Cedric Saverese: No.

Sramana Mitra: In the entire history of the company, there was no external financing?

Cedric Saverese: No.

Sramana Mitra: As time went by, did other competitors come into the market?

Cedric Saverese: Definitely. When I started, there were two competitors that came up within weeks or months of me having a product out. There was definitely some strong competition early on. One competitor that went through Y Combinator did very well. They sold to Survey Monkey pretty quickly. There was definitely some strong competition early on.

Sramana Mitra: Has Survey Monkey kept that product?

Cedric Saverese: Yes, they kept that product. Thankfully, they haven't done much with it. The product didn't seem like it changed in years since.

Sramana Mitra: What was the timeline?

Cedric Saverese: It was around 2007.

Sramana Mitra: What was the name of the other company?

Cedric Saverese: Wufoo.

Sramana Mitra: When did they sell to Survey Monkey?

Cedric Saverese: I don't know exactly. It was a couple of years later.

Sramana Mitra: That was one competitor that you had to contend in the marketplace. Was there any other that you had to pay attention to?

Cedric Saverese: Yes, there was another one – Formstack. They are also located in Indiana. We're just a few miles apart.

Sramana Mitra: They're still in business?

Cedric Saverese: Yes, they're still in business.

Sramana Mitra: Let's switch a little bit. In your history, how long did it take you to get to a million dollars in annual revenue run rate?

Cedric Saverese: It seems like it took forever. It's funny when you start a business, you think about, "Am I a real business now, or am I just pretending to be a business?" Especially when you try to sell to bigger customers, you start to feel that maybe you're not in the right place. You have your first few employees. Then you're like, "Now it's a real business." Then you think that maybe being a real business is reaching that \$1 million mark. I don't recall exactly when, but we reached that milestone. It took us several years.

Sramana Mitra: About four years?

Cedric Saverese: Yes, probably four years.

Sramana Mitra: After you reached that milestone, did anything change or was it still a linear organic growth as you experienced before? Did it accelerate?

Cedric Saverese: It did accelerate. It's still very much organic. It didn't accelerate as much as I would like. We definitely didn't see the hockey curve that people like to talk about in startups.

Sramana Mitra: In niche bootstrapped businesses, it's not unusual to have linear growth curves at all.

Cedric Saverese: Yes, that's what we had. We are growing faster now than we've ever grown, but it's still linear. A big change is being able to hire the people we need to grow the business.

Sramana Mitra: I want to hear about your team strategy. Let me get the growth trajectory down first. How long did it take you to get to \$5 million in annual revenue run rate?

Cedric Saverese: I would say three years.

Sramana Mitra: Three years after the \$1 million milestone?

Cedric Saverese: Yes.

Sramana Mitra: It did accelerate somewhat, right? That brings us up to 2013 now?

Cedric Saverese: No, I think we missed a few years there. The \$5 million mark was more like last year.

Sramana Mitra: Let's switch to team. You started as a solo entrepreneur?

Cedric Saverese: Yes.

Sramana Mitra: How long did you carry on as a solo entrepreneur?

Cedric Saverese: Two to three years, while it was a side project. When I did it full-time, I hired the first person within the next few months.

Sramana Mitra: What was the position that you hired?

Cedric Saverese: I hired a developer which, in retrospect, was a mistake. I hired someone that was more like me as opposed to hiring someone that was more complementary. The first two hires were developers. I would have needed a marketer or, at least, someone who can take multiple hats. Ideally, you pick someone who doesn't have the same skills that you have.

Sramana Mitra: When was the third hire and what position did you hire for?

Cedric Saverese: I'm pretty sure that was Customer Support.

Sramana Mitra: How many people do you have now?

Cedric Saverese: We have 46 employees now.

Sramana Mitra: What was the trajectory of building up to 46 people?

Cedric Saverese: Maybe going backward will be a lot easier. A year ago, we were about 32. We hired 10 to 15 people in the last year.

Sramana Mitra: Why so much?

Cedric Saverese: We're hiring across the board. We needed more people in customer support. We needed to build up a marketing team. We needed to build up a sales team. We needed to reinforce our product development team as well.

Sramana Mitra: All these people are in Indiana?

Cedric Saverese: They're distributed. They're in 17 or 18 different US states and in four or five countries.

Sramana Mitra: Do you have a physical office or are you doing this as a virtual company?

Cedric Saverese: We do have a physical office.

Sramana Mitra: How many people are in that office?

Cedric Saverese: We have eight people in Bloomington, Indiana. We're 100% distributed.

Sramana Mitra: Excellent. The reason I'm probing all this is the formula of solo entrepreneur going from getting a product done and starting to sell to a bootstrapped 40 to 50 people with over \$5 million in revenue is a very good model for the current generation of entrepreneurs who are trying to build small businesses anywhere in the world.

Your story is a classic textbook case study on how to build these businesses. In all these vectors that we are touching upon, are there strategic things that you've done that are worth discussing and sharing with our audience that people can learn from. What would you like to discuss more in more detail?

Cedric Saverese: We can talk about the remote aspect.

Sramana Mitra: Yes, talk about that please.

Cedric Saverese: I started down the path of having a distributed team because, at that time, I was not in Silicon Valley. I didn't really care about moving to Silicon Valley to build my business. So, there was a limited pool of potential candidates locally. I figured out that to do the work that we do, you need a laptop and a connection.

The first few employees that I hired were in and around Bloomington. Pretty quickly, I opened the job positions worldwide and tried to see who I could find. That allowed me to find people who had the kind of experience that I wanted who were also affordable. I was able to find great people that way and work with those.

Sramana Mitra: Can you name some of the locations that you specifically went after in this mode where there was enough technical talent that you were looking for but were also low cost?

Cedric Saverese: There wasn't a particular location that I was aiming for. I was aiming for US, mostly from a timezone perspective. I wanted to be able to work with people in normal business hours. We did hire people in Europe. Usually it doesn't work very well. Now we have people in Japan, Philippines, and India, but it's because they're working with customers that are in those timezones. Early on, I wanted people to be in my timezone to be able to work with them effectively.

Sramana Mitra: What parts of the United States were you hiring from?

Cedric Saverese: It really depends on the candidate. We have people from Texas and California.

Sramana Mitra: How do you find these people in these diverse geographies? Do you post jobs in those particular locations?

Cedric Saverese: Now, it's very common to just post online and say that this is a remote position. This is more common now than 10 years ago. At that time, there was some more specialized forums that I was going to like the Y Combinator HackerNews. You could just post there.

If you go to some of the big job boards like Indeed, you could just advertise the position as remote. When we do that, we get hundreds of applicants for every position that we open. It's hard to sift through all the applicants and to find the right person. Once you find someone that has the right experience and skillset that you're looking for, then we really don't care where they're at.

Sramana Mitra: What percentage of your employees are in North America versus elsewhere?

Cedric Saverese: I would say 20% are not located in the US.

Sramana Mitra: In terms of product line, are you still working with one product or are there multiple products in your portfolio?

Cedric Saverese: We're still working with one product – the one I started 10 years ago. I never had to pivot or change strategy much. It was more about growing and maturing our product and offering over the years and making sure that we keep our customers happy.

Sramana Mitra: Do you want to sell the company or do you want to do this forever? What is your desire?

Cedric Saverese: That's a good question. Things are going well. Business is growing. I enjoy working with the team. It's not that it gets easier, but there are different sets of problems and it keeps me excited. With that being said, if the right opportunity presents itself, I would totally consider it. It has to work for myself, the team, and for our customers. I have to keep that in mind.

Sramana Mitra: But you're still motivated to keep going with what you're doing and just keep building the business?

Cedric Saverese: Yes, I have a long wish list for what I like the product to be doing. I'm a very product-oriented person. I spend a lot of time working on the product itself.

Sramana Mitra: Those are the best kinds of entrepreneurs – the product-oriented people. Especially if you want to bootstrap a company in technology, the best kind of entrepreneurs are product people.

Cedric Saverese: Exactly. You have to work on the product over and over again. If you don't like it and you don't enjoy that part, it's going to be hard.

Sramana Mitra: Thank you for your time.